

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT'S MOTION TO STRIKE EXPERT REPORT OF GREGORY E. SMITH

COMES NOW, Respondent, Flexport International, LLC ("Flexport"), by and through the undersigned counsel, hereby moves pursuant to FMC Rule 69, 46 C.F.R. § 502.69, for an Order striking the May 19, 2025, report of Gregory E. Smith, the damages expert appointed by Complainant Peloton Interactive, Inc. ("Peloton"), and in support thereof, Flexport states as follows:

I. PRELIMINARY STATEMENT

Mr. Smith issued a report on April 21, 2025, and then issued a supplemental report on May 19, 2025. Not only was Mr. Smith's Supplemental Report submitted *after* the submission deadline, it asserted opinions relating to liability despite the fact that Mr. Smith was not designated as liability expert but rather a damages expert witness and further, Mr. Smith does not have the necessary experience to qualify as an expert in this proceeding on the issue of liability.

For the reasons discussed below, Mr. Smith's Supplemental report should be stricken.

II. LEGAL STANDARD

Expert disclosures must be made “at the times and in the sequence that the court orders.” F.R.C.P. 26 (a)(2)(D); *see e.g., Goodman v. Staples The Office Superstore, LLC*, 644 F.3d 817, 827 (9th Cir. 2011) (holding that the plaintiff’s untimely disclosure of expert witnesses and their expert reports warranted application of exclusion sanction). Likewise, under the FMC Rules, “[t]he time for disclosure of expert testimony must be addressed by the parties when they confer as provided in paragraph (h) of this section and, if applicable, must be included in the proposed discovery schedule submitted to the presiding officer.” 46 C.F.R. 502.141(d)(4).

As detailed further below, the schedule agreed to by the Parties and adopted by the Presiding Officer required the Parties to serve their expert reports by **April 21, 2025**, and responses to expert reports **May 5, 2025**.

Pursuant to F.R.C.P. 37(c)(1), a party that has failed to provide information required by Rule 26(a) or 26(e) “is not allowed to use that information or witness to supply evidence on a motion, at a hearing, or at a trial, unless the failure was substantially justified or harmless.” *See, e.g., Carrillo v. B&J Andrews Enters., LLC*, No. 2:11-CV-01450-RCJ, 2013 WL 394207, at *6 (D. Nev. Jan. 29, 2013) (*quoting* Fed. R. Civ. P. 37(c)(1)).

The Commission’s Rules of Practice regarding use of “expert” testimony, 46 C.F.R. § 502.141(d), are nearly identical to the Federal Rule of Evidence 702. *See* 46 C.F.R. § 502.141(d); Fed. R. Evid. 702. Under Rule 702, “the trier of fact [here, the Presiding Officer] is to perform a ‘gatekeeping’ function concerning the admissibility of expert evidence.” *United States v. Frazier*, 387 F.3d 1244, 1260 (11th Cir. 2004) (*citing Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579, 589 n.7, 597 (1993)); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Docket No. 11-11, 2013 WL 9808672, at *23 (ALJ 2013) (admin. final). The proponent of

the “expert” opinion bears the burden of establishing “qualification, reliability, and helpfulness.” *Daubert*, 509 U.S. at 592, 592 n.10.

Daubert requires three separate inquiries: (1) whether the proposed expert is qualified to offer the opinions proffered; (2) whether the opinion is based on reliable data and methodology; and (3) whether the testimony is relevant and within the proper scope of testimony. *Id.* at 589. To start with, an expert witness must possess “specialized knowledge” obtained through experience, training or education; and for a witness who is “not qualified as an expert” in the field governing the “topics covered in his testimony, that testimony cannot possibly meet the requirements mandated by *Daubert*.” See *In re Omeprazole Patent Litig.*, 490 F. Supp. 2d 381, 402 & n.9 (S.D.N.Y. 2007) (citing *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994)). The courts have “not pursued a policy of qualifying any proffered witness as an expert.” *Waldorf v. Shuta*, 142 F.3d 601, 625 (3d Cir. 1998). Further, a witness may not be qualified as an expert in the area of his proffered testimony based on his expertise in other areas. See *Carnegie Mellon Univ. v. Marvell Tech. Group, Ltd.*, 286 F.R.D. 266, (W.D. Pa. 2012) (admitting patent expert’s opinion on general market matters but excluding his opinion on technical aspects); see also *Soldo v. Sandoz Pharm. Corp.*, 244 F. Supp. 2d 434, 568 (W.D. Pa. 2003) (excluding doctor from testifying outside his specialty); accord, *Pell v. E.I. DuPont De Nemours & Co.*, 231 F.R.D. 186, 192 (D. Del. 2005), *Redman v. John D. Brush & Co.*, 111 F.3d 1174, 1179 (4th Cir.1997), *Barrett v. Atl. Richfield Co.*, 95 F.3d 375, 382 (5th Cir.1996).

III. DISCUSSION

A. Mr. Smith Supplemental Report was Untimely.

An expert report must be produced in accordance with the schedule set by the Presiding Officer. See F.R.C.P. 26 (a)(2)(D). Pursuant to the Second Amended Scheduling Order issued by the Presiding Officer on February 19, 2025, the Parties served several expert reports on April 21,

2025, one of which was the Expert Report Gregory Smith, designated by Peloton as a **damages expert**. The Second Amended Scheduling Order additionally allowed the Parties to submit Rebuttal Expert Reports by **May 5, 2025**. Complainant never asked the Presiding Officer to authorize a supplemental report after this deadline.

Without authority to do so, Peloton served Smith’s Supplemental Report at 11:46 p.m. on Monday, May 19, 2025—the same day as the deadline for the Parties to complete all discovery, including expert depositions. Although the expert report is referred to as a “supplemental” report, the May 19, 2025 Report is in substance not merely “supplemental” but instead a substantially revised and effectively new report with additionally opinions related to liability issues.

There was no possibility within the existing schedule for Flexport to properly address this May 19 Report, nor take the deposition of Mr. Smith. In addition to not moving for authority to even submit the May 19 Report, Peloton has also not moved for or proposed an extension of the Schedule; nor would it be appropriate to grant such an extension, imposing additional costs on Flexport, given that it results solely from the misbehavior of Peloton and its counsels. Fundamental fairness, the Administrative Procedure Act, and Due Process all require that a respondent be allowed to timely learn and respond to the allegations of a complainant. In this case, Peloton has made that impossible by precluding the new and substantially revised May 19 Report of Mr. Smith.

Peloton must not be allowed to use the May 19 Report, which it failed to timely provide in accordance with the scheduling order. There is absolutely no justification for why Peloton did not serve this report within the deadlines ordered by the Presiding Officer and allowing Peloton use of this report during this proceeding would undoubtedly cause prejudice to Flexport—who was not given an opportunity to even learn of the report until 14 minutes before the end of the day on the last day of discovery. *See, e.g., Carrillo*, 2013 WL 394207, at *6 (*quoting* Fed. R. Civ. P. 37(c)(1)).

B. Mr. Smith is Not Qualified to Offer Opinions Related to Liability.

Mr. Smith's Initial Report dated April 21, 2025, is explicitly based on the assumption "that Flexport is liable to Peloton for the violations alleged in the Amended Complaint and that Peloton is entitled to recover damages (reparations) from Flexport", "[a]s is customary in evaluating damages in commercial disputes...". Smith's Initial Rep., at ¶ 8, attached hereto as Exhibit "A".

However, in Smith's May 19 Report, attached hereto as Exhibit "B" he goes beyond evaluating damages, to assess which party is responsible for the demurrage, detention, and storage charges "based on the shipment events...for each shipment." Smith's Suppl. Rep., at ¶ 7, 13-20.

Importantly, Mr. Smith offers no additional qualifications to support that he is qualified to speak as to **liability** matters in this proceeding, his May 19 report references only the "qualifications ... set forth in the Initial Smith Report." While Smith's Initial Report and his Curriculum Vitae mention experience relating to the quantification of damages, neither of these documents contain any mention of experience or education related to the operations of a global logistics provider, the different type of service offerings provided by companies involved in global logistics, nor the assessment of demurrage, detention, and storage charges. Smith's Initial Rep., at ¶¶ 3-5; *see also* App. A to Smith's Initial Rep. Mr. Smith's experience with evaluating damages does not render him competent to opine on **liability** issues in this case. *See Carnegie Mellon Univ. v. Marvell Tech. Group, Ltd.*, 286 F.R.D. 266, (W.D. Pa. 2012) (admitting patent expert's opinion on general market matters but excluding his opinion on technical aspects); *see also Soldo v. Sandoz Pharm. Corp.*, 244 F. Supp. 2d 434, 568 (W.D. Pa. 2003) (excluding doctor from testifying outside his specialty); *accord, Pell v. E.I. DuPont De Nemours & Co.*, 231 F.R.D. 186, 192 (D. Del. 2005), *Redman v. John D. Brush & Co.*, 111 F.3d 1174, 1179 (4th Cir.1997), *Barrett v. Atl. Richfield Co.*, 95 F.3d 375, 382 (5th Cir.1996).

C. Mr. Smith's Report Constitutes Prohibited Legal Opinions.

Not only is Mr. Smith wholly unqualified to testify as the liability of the parties in this matter, it is well-established that expert testimony about U.S. law is prohibited. Specifically, experts “may not testify to the legal implications of conduct” or “tell the [finder of fact] what result to reach.” *Montgomery v. Aetna Cas. & Sur. Co.*, 898 F.2d 1537, 1541 (11th Cir. 1990). Such legal conclusions “in no way assist[] the trier of fact.” *Cooper v. Pacific Life Ins. Co.*, 2007 WL 430730, at *1 (S.D. Ga. Feb. 6, 2007); *see also United States v. Bilzerian*, 926 F.2d 1285, 1294 (2d Cir. 1991) (“As a general rule an expert’s testimony on issues of law is inadmissible[]”). The Smith Report repeatedly makes determinations about which party is responsible for the detention, demurrage, and storage charges assessed by Flexport to Peloton. Accordingly, Smith’s Supplemental Report dated May 19, 2025, should be stricken.

D. Mr. Smith Report is Not Reliable.

It is axiomatic that the reliability prong of the *Daubert* test is an “important requirement for admissibility.” *Frazier*, 387 F.3d at 1261. In his May 19 report, Mr. Smith concedes that “[t]he Portal Events Files produced by Flexport do not contain relevant data on every Flexport shipment of Peloton cargo included in Exhibit A to the Amended Complaint, nor do they contain complete documentation of every event that impacted each shipment and the causes of delays or events that led to demurrage, detention, and storage charges.

Yet, despite this lack of imperative information, Smith goes on to outline the amounts he believes Flexport and Peloton are respectively responsible for—which, as explained above, he is not qualified to have an opinion on. Mr. Smith even admits in his May 19 Report “that this may be overly inclusive, as it may be the case that Peloton initially had a capacity issue that caused a delay, but Flexport was delayed in delivering a container even after Peloton communicated that it was ready to receive the shipment.”

First, we note that Gregory Smith was specifically retained by Peloton “to quantify the damages incurred by Peloton”. He is an accountant. Period. First Smith Rpt. at 1, ¶ 3. Each of his Reports reflect that he has absolutely no experience whatsoever with the logistics industry at all or NVOCCs.

Mr. Smith began his first expert report with the following statement:

As is customary in evaluating damages in commercial disputes, **I have assumed that Flexport is liable** to Peloton for the violations alleged in the Amended Complaint and that Peloton is entitled to recover damages (reparations) from Flexport.

First Smith Rpt. at 3, ¶ 8.

Mr. Smith then goes on to provide the damage calculations for all demurrage, detention, yard storage and warehousing charges for the entire period from 2020 through 2022.

Thus, his analysis includes not only time-barred charges, but charges for yard storage and warehousing – which are not even included in Exhibit “A” to the Amended Complaint, or recoverable in this action. And then Mr. Smith also includes the time-barred charges in his Second Report. Further, the entire basis as to the damages are the “store door” terms, a term which this accountant with zero industry experience obviously used upon the instruction of Peloton’s counsel.

Mr. Smith then goes on to conclude that, since these were “store door” moves:

[the] [r]esulting ocean demurrage, detention, and yard and warehouse storage related to inland transportation, therefore, should not be Peloton’s responsibility, and Flexport’s practice of billing Peloton for all such charges was unreasonable.

First Smith Rpt. at 8, ¶ 20 (citing to Peloton’s Verified Amended Complaint).

Mr. Smith provides no basis for this completely inaccurate legal conclusion which he provides in his damages report (which was prepared based on the assumption that Flexport was liable). Notably, Mr. Smith goes on to declare the following:

Finally, I note that Flexport contends that some of the charges included in Exhibit 1 were incurred due to issues created by Peloton not being able to accept delivery

of containers or being slow in unloading containers and those charges should be Peloton's responsibility. As noted above, it is my understanding that Peloton's claim in this matter is regarding Flexport's unreasonable practices in billing all demurrage, detention, and storage charges to Peloton (without demonstrating why Peloton should be responsible). **I have not been asked to nor have I undertaken an analysis to determine whether Peloton may have played some role in any delays leading to the demurrage, detention, and storage charges for any of the more than 7,000 shipments in Exhibit 1.**"

Smith Rpt. at 14-15, ¶ 38 (emphasis added).

In other words, at no time was Mr. Smith ever asked to analyze whether the D&D charges were the result of Peloton's actions.

Mr. Smith makes clear that his legal analysis is based upon his review of the Events Downloads. Smith Suppl. Rpt. at 1, ¶ 2. However, Mr. Smith's entire opinion is based upon the following false, unsupported premise – that the references to “events” in the Events Downloads (such as chassis, missed appointment, etc.) provides conclusive proof that Flexport was responsible for the all of the D&D charges assessed for that particular shipment. Smith Suppl. Rpt. at 7-8, ¶¶ 16-18. This is not mere conjecture, as Mr. Smith clearly proclaimed: “Supplemental Exhibit 4 contains a summary of the responsibility assessments based on the shipment events (e.g. trucking delays, chassis issues, etc.) for each shipment.” Smith Suppl. Rpt. at 3, ¶ 7.

What is important to understand is that Mr. Smith unilaterally declares what the meaning behind the entries in the Events Downloads without any basis for this conclusion. This fact alone undermines his entire analysis.

To be clear, Peloton never asked Flexport's corporate representative – who was responsible for preparing the Events Downloads – about any these entries or what they mean. Mr. Smith just unilaterally concluded what he believed they signified mean.

Mr. Smith then just concludes, based solely on the number of times that an “event” was listed, who was responsible for the entire charge. Smith Suppl. Rpt. at 2-3, ¶ 7.

Here is how Mr. Smith’s legal analysis completely fails:

First, there can be – and indeed are – hundreds of examples where an “event” can be logged for a particular shipment dozens of times. For example, between Lines 2554 and 2575 there are there are eight (8) separate “events” for shipment 1194650 identified as “Trucking Delay: Other”. However, all of these “events” took place within less than a three (3) minute period!¹

The reason is simple – the trucker and/or Peloton and/or Flexport just entered and re-entered “trucker delay”. This in no way means that there were eight (8) trucker delays for the same shipment within 3 minutes. This also does not mean that there was in fact any delay which caused demurrage or detention to be incurred. But that is exactly what Mr. Smith’s analysis is based on – the number of times that such event was listed for each shipment. Smith Suppl. Rpt. at 7-8, ¶¶ 16-18. That’s all he does – he lists for each invoice the number of times that an “event” is listed for each invoice. Then Mr. Smith makes the sweeping conclusions that since an “event” was listed, then all D&D charges assessed in that Flex ID Invoice are unreasonable. *Id.*

Mr. Smith himself states that he “developed initial search terms to identify entries that may contain information on the causes of demurrage, detention, and storage charges invoiced to Peloton.” Smith Suppl. Rpt. at 5, ¶ 12. He then goes on to state that he “then ran searches of the Portal Events Files with the initial search terms...to identify similar terms that show up in the data that may provide information to assess the causes of the charges.” *Id.* Mr. Smith then summed up exactly what he did:

Utilizing the search terms described above, I identified the shipments listed in the Portal Events Files with relevant information on the causes of delays and mapped those to the charges detailed in Exhibit 1 to the Initial Smith Report. Supplemental Exhibit 3 provides a listing of all Flexport shipments included in Exhibit 1 to the Initial Smith Report and identifies **the number of shipment events by search category/term in the Portal Events Files.**

¹ The first entry, Line 2554, was entered at 17:29:40 while the last entry, Line 2575 was entered at 17:32:35. Events Download October 2021 – October 2024.

The shipment events indicate the number of entries in the Portal Events Files that contain the search terms for the referenced search category.

Supplemental Exhibit 4 contains a summary of the responsibility assessments based on the shipment events for each shipment.

Smith Suppl. Rpt. at 7-8, ¶ 16.

It is important to understand what Mr. Smith does not say. Mr. Smith references the “events” for each invoice. But, each invoice typically included multiple containers. Moreover, the mere reference to an “event” does not implicate any delay, and at no point whatsoever does Mr. Smith link any such “event” with any particular container.

Indeed, the absence of any reference to containers in the analysis is perplexing, particularly when Mr. Smith asserts (incorrectly) that the container ID was included in the materials he reviewed. That is, in his Initial Report, Mr. Smith expressly stated that, in assessing the damages in this matter, he reviewed the “Flexport Charge File”, which he identifies as the spreadsheet entitled “Peloton Aggregate Shipment Details”. Smith Rpt. at 9-10, ¶¶ 23-24. Mr. Smith then expressly states that “The Flexport Charge File is reflected in Exhibit 1” and specifically describes the relevant line-item records, including the “**Container Number**”. Smith Rpt. at 9-10, ¶ 24 (emphasis added).

Exhibit 1, however, does not contain **any** reference at all to **any** container – only the shipment ID (the invoice). In the Second Report, Mr. Smith specifically states that he mapped the charges to Exhibit 1 in the Initial Report. Smith Suppl. Rpt. at 7-8, ¶ 16.

Thus, despite clearly having the ability to assess a container-by-container charge, Mr. Smith failed to do so.

Moreover, Mr. Smith does not link any “event” with any delay. He only concludes that the reference to such event means that any resulting charges were unreasonable. But he does not ever provide any analysis that the “event” actually led to any delay.

Nor does Mr. Smith link any “event” to any particular charge – **at all**. Again, Mr. Smith merely states that an “event” was listed X number of times and thus, **all** charges relating to the referenced invoice should be Flexport’s responsibility. Thus, Mr. Smith makes no analysis at all as to the number of days of D&D which were caused by the “event”. Indeed, Mr. Smith admits this failure in his Second Report:

There were also shipments in the Portal Events Files that provided some indication of Peloton responsibility but also indication of Flexport responsibility. For example, there were some shipments for which the Portal Events Download indicated there was both at one point a Peloton capacity issue and also showed there were problems getting appointments at the terminal on the same shipment.

Smith Suppl. Rpt. at 8, ¶ 17.

No delineation is made as to the apportionment of the charges – which, again, were analyzed per invoice, not by container. There is no charge linked to any container. There is no charge linked to any particular day. There is only a blanket assertion as to the entire invoice (consisting of several containers), without any analysis as to liability or extent of liability.

Indeed, we highlight specific examples as to how Mr. Smith’s analysis fails. As set forth more fully in Flexport’s Reply Brief, Peloton had significant capacity issues at its Perris facility. On February 9, 2022, Flexport advised that there were 23 containers that have been on hold in JCT’s yard for delivery to Perris, with a spreadsheet attached. Attached hereto as Exhibit “C” and “D”. The spreadsheet attached to this email contains a list of invoices and the containers associated with same. Flexport states that it was advised by Peloton that these containers were to be re-routed to its San Bernadino facility, and Peloton confirms that some will also be send to its Vernon facility. As such, Peloton was not only fully aware that these containers were being held at JCT because Perris was full, but that they would not be re-routed to two different facilities.

Now we look at Smith Supplemental Exhibit 3, line 1525, which lists the Flex ID of FLEX-1328111. Smith Suppl. Rpt. Ex. 3. Mr. Smith notes that the charge was \$34,555 and there were 4 notations of “chassis”, 7 for “inland carrier” and 1 “congestion. *Id.*

Yet, the spreadsheet attached to the email identifies three (3) containers associated with this Flex ID. As reflected in invoice FLEX-1328111-3, attached hereto as Composite Exhibit “E”, each of these containers was assessed detention, demurrage and yard storage which add up to the amount set forth in Exhibit 3.

Next, we look at Smith Supplemental Exhibit 3, line 1573, with a definition of “congestion” and “damages” of \$14,550. Smith Suppl. Rpt. Ex. 3. This invoice listed – and the spreadsheet attached to the email, consisted of three (3) separate containers. However, this shipment actually consisted of two separate invoices, FLEX1317652-3 and FLEX1317652-5, included in composite Exhibit “E”, The first invoice was for \$9,910 and contained yard and detention charges for all three (3) containers. The second was for \$4,640.00 was for demurrage and was only for one container.

Another invoice listed on the spreadsheet attached to the email was FLEX-1328103, included in Composite Exhibit “E”. This shipment also consisted of two (2) containers. The first invoice, FLEX-1328103-5 for \$8,350.00 sets forth the demurrage, detention and yard storage for one container , while the second invoice FLEX-1328103-3 includes the charges for the second container – as well as charges for a separate container. For these containers, held at JCT’s yard and then diverted by Peloton, with Peloton’s knowledge and instruction, Mr. Smith lists 2 “chassis” events, 9 “inland carrier” and 1 “congestion”.

To be clear, Mr. Smith is challenging the yard storage, and D&D charges for invoices which included containers which Peloton could not accept at their facilities – without including a single container, a single charge for that container, or a single reason that charge was assessed.

Moreover, had Mr. Smith reviewed the evidence regarding Peloton's role in causing or contributing to the delays, then these charges should clearly have not been included as "damages" for which he claims Flexport is liable.

Notwithstanding Smith's lack of qualifications to opine as to liability, his failure to identify and consider all the delays related to each shipment, results in generalized and unreliable conclusions. As the Chief Law Judge noted in a previous proceeding, "[f]uture proceedings would benefit from a greater focus on the specific shipments." *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 3093193, at *27, 4 F.M.C.2d 53, 82.

Here, Mr. Smith fails to do so. His analysis is completely unreliable and contradicted by the evidence in this litigation.

IV. CONCLUSION

For the reasons set forth above, the Smith Supplemental Report should be stricken and excluded from any admission in the proceeding or consideration by the Presiding Officer, together with any such other relief as this Tribunal deems just and proper.

CERTIFICATION OF CONFERENCE

The undersigned hereby certifies that he has conferred in good faith with counsels for Peloton in an effort to resolve this matter before filing the instant motion, but counsels advised that they oppose the relief requested herein.

Dated: September 15, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on September 15, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.